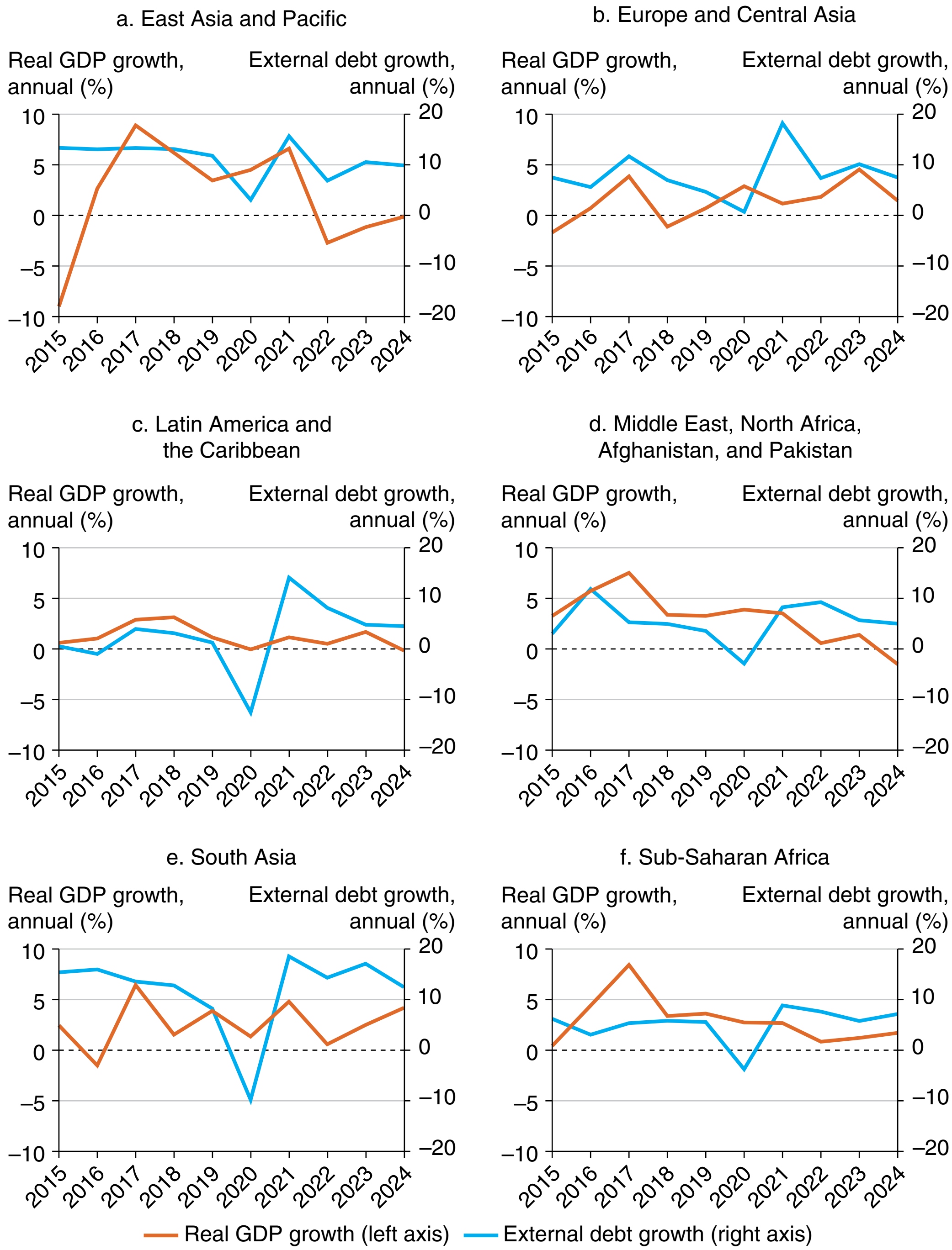
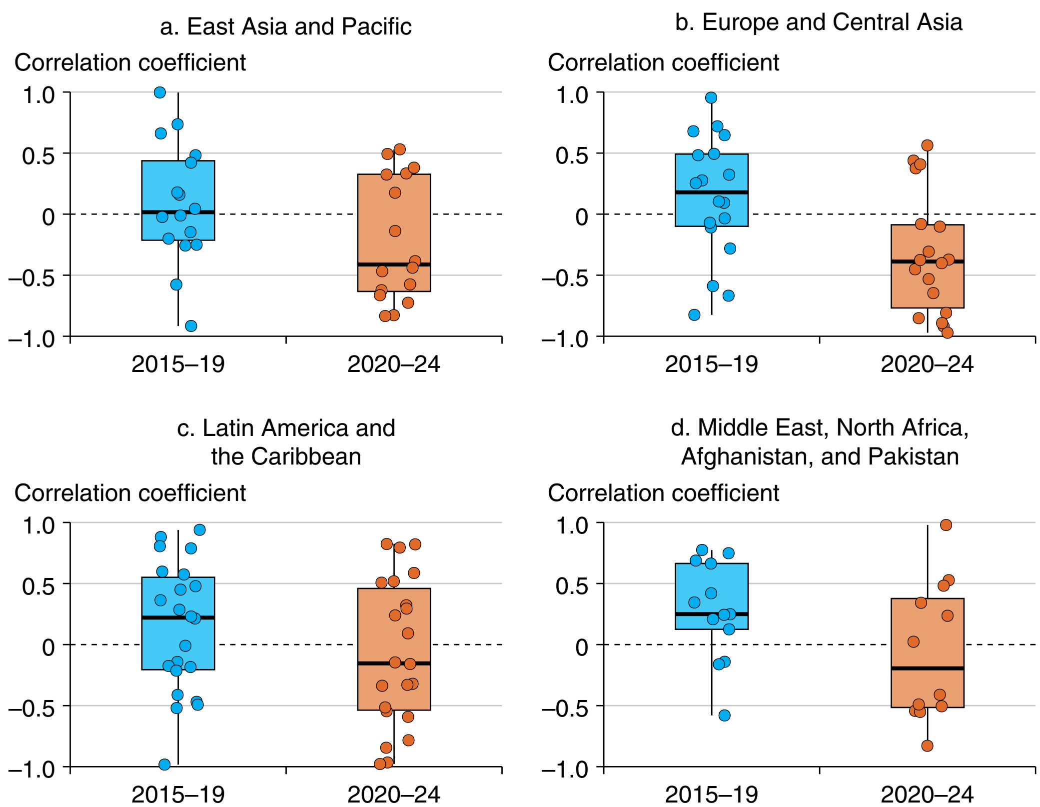
Figure 2.1 GDP Growth and Year-on-Year Percentage Growth in External Debt Stock, by Region, 2015–24



Sources: Original calculations based on data from the World Bank's International Debt Statistics and World Development Indicators databases.
Note: Each panel displays regional GDP growth rates, calculated as weighted averages, based on real GDP in constant 2015 prices, expressed in US dollars, and external debt stock year-on-year percentage growth from 2015 to 2024. The sample includes 119 countries: 16 in East Asia and Pacific; 18 in Europe and Central Asia; 22 in Latin America and the Caribbean; 13 in the Middle East, North Africa, Afghanistan, and Pakistan; 6 in South Asia; and 44 in Sub-Saharan Africa.

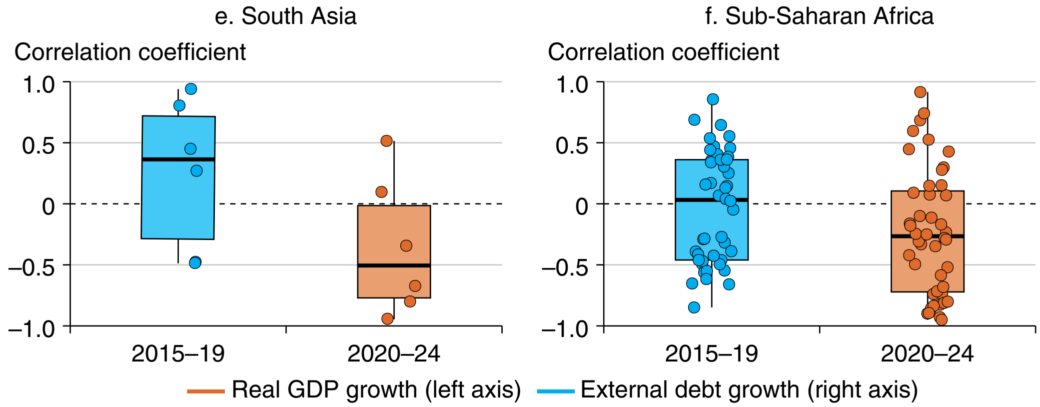
The relationship between debt accumulation and economic growth may vary across countries and periods, reflecting differences in economic structures, policy responses, and institutional quality. Nevertheless, historical evidence shows that past waves of debt buildup have often coincided with slower growth and rising macroeconomic vulnerabilities, particularly in emerging and developing economies (El Khalfi et al. 2024; Heimberger 2023; Kose et al. 2021). Figure 2.2 further summarizes regional dynamics by plotting the correlation between GDP growth and the year-on-year growth in external debt stocks, calculated separately for 2015–19 and 2020–24. The share of economies with a negative correlation increased from 51 out of 119 (about 43 percent) during 2015–19 to 76 out of 118 (about 64 percent) during 2020–24. This increase is observed across all regions, notably in the Europe and Central Asia, South Asia, and Sub-Saharan Africa regions, suggesting that higher debt growth has increasingly coincided with slower output performance.

Figure 2.2 Correlation between GDP Growth and External Debt Stock Year-on-Year Percentage Growth, by Region, 2015–19 vs. 2020–24



(Figure continues on next page)

Figure 2.2 Correlation between GDP Growth and External Debt Stock Year-on-Year Percentage Growth, by Region, 2015–19 vs. 2020–24 *(continued)*



Sources: Original calculations based on data from the World Bank's International Debt Statistics and World Development Indicators databases.
Note: Each panel represents a region and plots the distribution of Pearson correlation coefficients between real GDP growth rates and year-on-year percentage growth in external debt stock, calculated separately for 2015–19 and 2020–24. Points represent country-level observations; boxes show the interquartile range (25th–75th percentiles), with the horizontal line showing the median; whiskers extend to the most extreme values within 1.5 times the interquartile range.

The wider prevalence of negative correlations during 2020–24 partly reflects the exceptional impact of the pandemic and subsequent policy responses, when economic contractions and emergency spending led to rapid increases in public borrowing. Nonetheless, the evidence still points to a broader, though preliminary, pattern of divergence between rising debt and economic expansion across many countries. Recent trends suggest that debt accumulation might have been driven less by growth-oriented investment and more by short-term stabilization, rollover, and essential expenditure needs, reflecting the countercyclical nature of official financing in many LICs. At the same time, the negative correlation may partly reflect reverse causality, because stronger growth can also reduce the need for new borrowing, leading to slower debt accumulation.

Growth Outlook in Low- and Middle-Income Countries

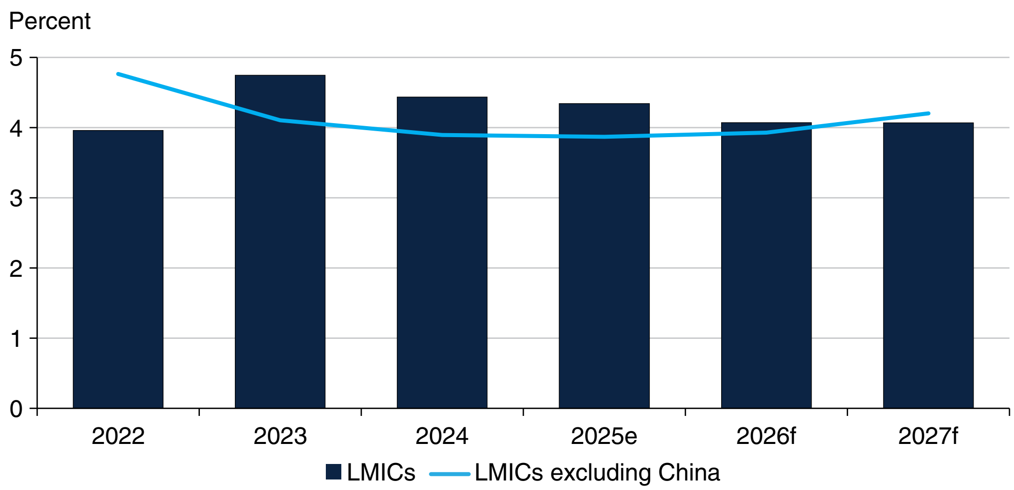
Growth in low- and middle-income countries (LMICs) is expected to soften in the short term, primarily because of increased trade restrictions and heightened uncertainty related to global trade, which will increase debt service burdens. Weakening growth will likely contribute to an increase in public debt-to-GDP ratios in LMICs and exacerbate debt dynamics. In addition, compared to the past couple of years, the pace of government revenue collection is projected to slow in

LMICs, particularly when China is excluded, with softening activity, which will constrain the debt service capacity of governments.

GDP growth in LMICs is estimated to inch down to 4.3 percent in 2025 from 4.4 percent in 2024, mainly reflecting an export slowdown that offsets resilient domestic activity supported by the loosening of financial conditions and benign credit expansion (figure 2.3). In China, slowing export growth, alongside elevated uncertainty, is estimated to lead to a marginal decline in growth in 2025. Excluding China, growth in LMICs is set to remain stable at 3.9 percent between 2024 and 2025.The decline in growth in 2025 will be broad-based, with more than half of LMICs expected to experience lower growth than in 2024, and will mark the fourth consecutive year (2022–25) of growth deceleration taking place in more than half of LMICs.

In 2026–27, growth is projected to slow further to an average of 4.1 percent per year in LMICs because of the continued impacts of trade restrictions and heightened uncertainty, including in China. Excluding China, growth in LMICs is forecasted to increase to 4.1 percent annually, on average, in 2026–27, primarily driven by strengthening domestic demand backed by easing financial conditions that lower borrowing costs, falling inflation, and improving business and consumer confidence. In addition, the share of LMICs with slowing growth is set to decline over 2026–27.

Figure 2.3 Growth in Low- and Middle-Income Countries, 2022–27



Source: Original calculations based on data from the World Bank's Macro Poverty Outlook (October 2025), https://www.worldbank.org/en/publication/macro-poverty-outlook.
Note: Aggregate GDP growth rates are calculated as weighted averages, based on real GDP in constant 2015 prices, expressed in US dollars, as weights. e = estimated; f = forecasted; LMICs = low- and middle-income countries.

Further moderation of growth in LMICs is expected to contribute to a continued increase in the public debt-to-GDP ratio by the end of 2027, and lower interest rates on public debt will marginally improve the interest rate-growth differentials over 2026–27. Excluding China, an increase in the debt ratio is expected to be modest, partly because of rising growth. However, growth in government revenues is projected to stay lower in 2026–27 than in 2023–24, reflecting that debt service capacity will remain limited.

In LICs as well as in economies eligible for International Development Association (IDA) assistance, growth is projected to increase in 2026–27, with an assumed improvement in security, leading to a recovery in several fragile and conflict-affected situations, alongside easing inflation. Despite accelerated growth projections, fiscal buffers will remain constrained in many LICs, partly reflecting reductions in foreign aid, including official development assistance. Depleted fiscal space will continue to undermine resilience and constrain the ability to absorb shocks.

Risks to the outlook in LMICs remain tilted to the downside. The materialization of these risks could weaken economic activity, increase borrowing costs, and worsen the debt service capacity. Key downside risks include a further escalation of trade tensions and heightened policy uncertainty, tighter financial conditions and financial stress, and increased conflict and geopolitical stress.

Further escalation of trade tensions and persistently high trade policy uncertainty could weigh more heavily on business and investor sentiments, and have adverse impacts on output and employment in LMICs. A sharp rise in uncertainty, particularly for an extended period, could raise the costs of borrowing and lower investment through, for example, delays in investing in productive capacity. Weaker investor sentiment and a lack of clarity over future trading arrangements could curtail the flow of foreign direct investment (FDI) linked to establishing supply chains in LMICs.

Financial market disruptions and tighter financial conditions could weaken global growth and lead to capital outflows from LMICs, with particularly adverse impacts in countries with limited fiscal and external buffers. In LMICs with weak credit ratings and high debt levels, market access for refinancing maturing debt could be disrupted, requiring sharp fiscal adjustments or debt restructuring. Higher borrowing costs would raise debt servicing burdens and worsen fiscal pressures in many LMICs.

The risk of continued or escalating conflict remains high, which could worsen economic and social conditions in economies directly involved and spill over to neighboring economies. Private activity could be constrained, with persistent output losses in the affected economies. Neighboring countries could also see weaker private investment due to heightened uncertainty and reduced economic stability.

Declines in productive capacity induced by conflicts could lower future expected incomes, raise risk premiums, and increase the probability of debt default.

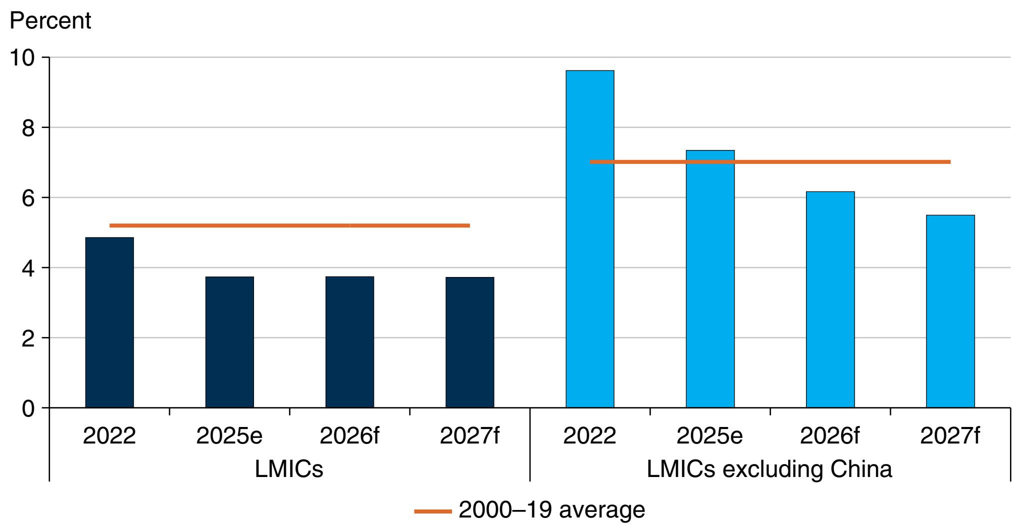
Easing Inflation in LMICs amid Heightened Uncertainty

Inflationary pressures are projected to continue to soften in LMICs in the short term, partly because of loosening labor markets and softening wage growth. Although monetary authorities in LMICs have maintained a cautious stance amid elevated uncertainty, monetary policy is expected to ease gradually in 2026–27, contributing to a decline in debt service costs.

Headline inflation in LMICs is estimated to decrease to 3.7 percent in 2025 from 4.9 percent in the previous year, partly reflecting easing labor markets with softer wage growth (figure 2.4). When China is excluded, the deceleration of inflation is projected to be faster, from 9.6 percent in 2024 to 7.3 percent in 2025. In several LICs, food prices fell in the second half of 2025 following strong harvests.

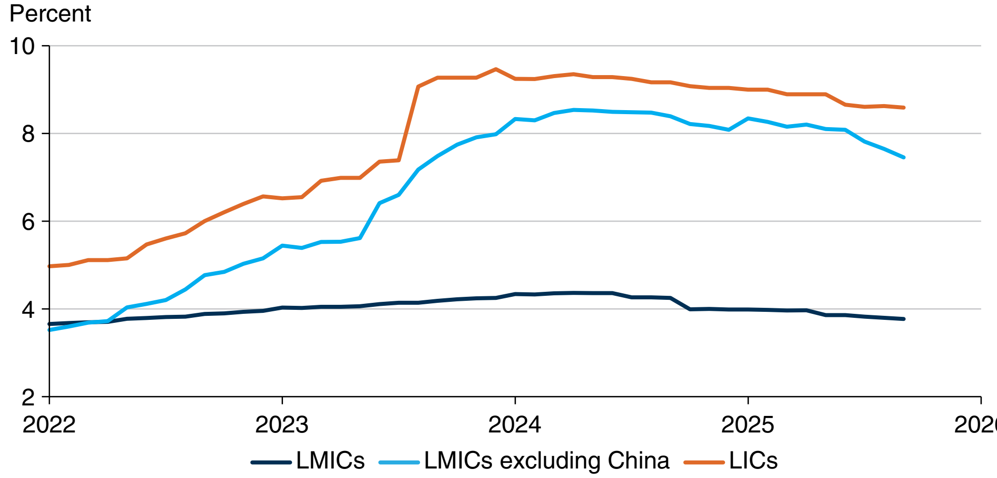
However, declining inflation will be driven by major LMICs, as inflation is estimated to increase in about half of LMICs in 2025, compared to about one-fifth of these economies in 2024. Given heightened global economic and trade policy uncertainty and fragile economic situations, central banks in LMICs are still cautious about lowering policy rates although rates have been on a declining path. In LMICs excluding China and in LICs, policy rates have remained elevated, near the level of mid-2023 (figure 2.5).

Figure 2.4 Inflation in Low- and Middle-Income Countries, 2024–27



Source: Original calculations based on data from the World Bank's Macro Poverty Outlook (October 2025), https://www.worldbank.org/en/publication/macro-poverty-outlook.
Note: Aggregate consumer price index inflation rates are calculated as geometric weighted averages, based on nominal GDP in US dollars, as weights. e = estimated; f = forecasted; LMICs = low- and middle-income countries.

Figure 2.5 Policy Rates in Low- and Middle-Income Countries, 2022–25



Source: Original calculations based on data from Haver Analytics.
Note: The last observation is September 2025. Aggregate monetary policy rates are calculated as geometric weighted averages, based on nominal GDP in US dollars, as weights, using data up to 59 LMICs, including 12 LICs. LICs = low-income countries; LMICs = low- and middle-income countries.

In 2026–27, inflation in LMICs is expected to stabilize further as labor markets approach balance. Excluding China, inflation in the group is set to decline to an average of 5.8 percent a year in 2026–27. Inflation is projected to decelerate in about 60 percent of LMICs in 2026. A further reduction in price pressures is also expected in LICs and IDA-eligible countries, assuming that normal weather conditions continue without any disruptions to supply chains. With softening inflationary pressures alongside easing financial conditions, monetary policies in LMICs are projected to loosen gradually; therefore, the cost of servicing debt is expected to decline.

Projected softening of inflationary pressures is set to coincide with easing debt service burdens in LMICs. In 2025, total external debt service is estimated to decline by 10 percent to US$1.2 trillion. The declining trend is expected to continue in 2026–27, with debt service payments decreasing to US$918 billion in 2027. In particular, amid the expected easing of financial conditions and financing costs, interest payments on total external debt are forecasted to shrink further. Between 2024 and 2027, interest payment burdens are expected to decline by 42 percent in LMICs, 41 percent in LICs, and 32 percent in IDA-eligible countries. Consequently, the share of interest payments in total debt service in LMICs will decrease to 27 percent a year, on average, in 2025–27, from 34 percent in 2024. Excluding China, the share of interest payments is also projected to fall in LMICs over the same period.

Multiple drivers could, however, heighten inflationary pressures in LMICs in 2026–27, potentially leading to a tightening of monetary policies and a rise in debt service burdens. Those drivers include escalated tension and uncertainty in global trade policy, tighter global financial conditions, the intensification of conflicts, and adverse weather conditions.

Heightened tensions and uncertainty in global trade policy uncertainty, especially if sustained for an extended period of time, could increase consumer prices and inflation expectations in LMICs. Disruptions in global supply chains caused by further escalation of trade tensions and heightened uncertainty could lead firms to delay investment and raise prices, particularly when facing a surge in production expenses, in order to maintain profit margins. A rise in producer prices could translate into higher consumer prices and inflation expectations, resulting in shifts in monetary policy stances, especially if inflation expectations show signs of de-anchoring.

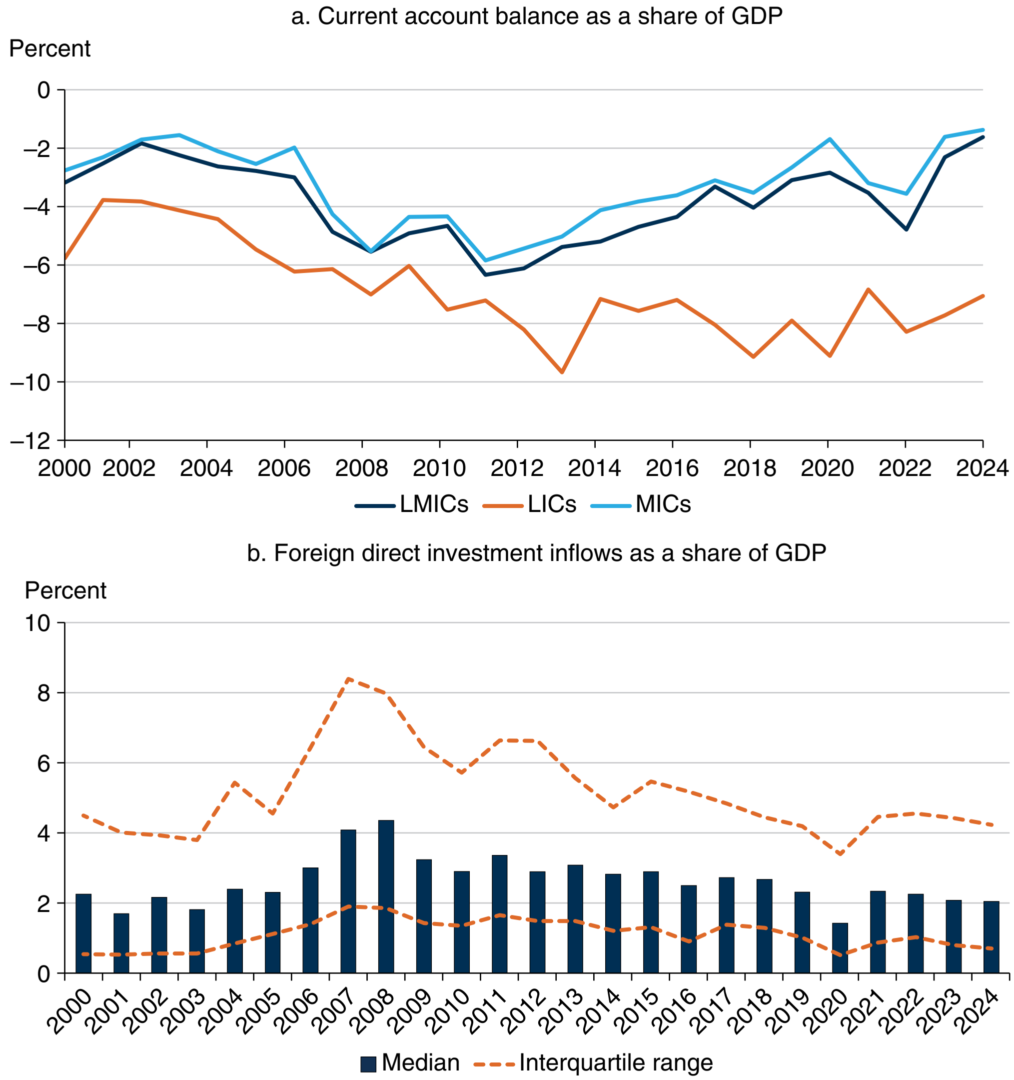
Tighter global financial conditions could increase inflationary pressures, mainly resulting from currency depreciation in LMICs. Inflation in LMICs could also rise if cross-border conflicts or domestic violence damages the supply network, putting upward pressure on commodity prices by increasing production and transportation costs. In addition, adverse weather conditions, including extreme droughts or excess rainfall, could result in a surge in food prices, especially in LICs or economies reliant on agricultural output.

Rising debt levels in LMICs could reverse recent progress on inflation in these countries. An unanticipated increase in government debt-to-GDP in emerging markets and developing economies is associated with a rise in long-term inflation expectations (Brandão-Marques et al. 2023).

Persistent Current Account Pressures: Increased Borrowing Costs and Low Growth Rates

About three-quarters of LMICs had current account deficits in 2024. Such deficits have been persistent in LMICs, with these economies (excluding China) continuously running deficits since 2008. These deficits have contributed to the accumulation of external debt over the years, particularly in LICs, where the current account deficit was about 8 percent of GDP in the early 2020s (figure 2.6a). Current accounts in LMICs excluding China are expected to remain in deficit in the short run, partly reflecting heightened geopolitical tensions and elevated global trade policy uncertainty, reducing export revenues and raising vulnerability to external shocks in several economies. As of 2024, 23 LMICs had current account surpluses—the largest were in Africa (Djibouti, Nigeria, and Angola), followed by several countries in Europe and Central Asia (Azerbaijan and Tajikistan).

Figure 2.6 Current Account Balance and Foreign Direct Investment, Low- and Middle-Income Countries, 2000–24



Source: World Bank World Development Indicators database.
Note: Panel a: median current account balance in percent of GDP for LMICs, LICs, or MICs per year. Panel b: median and interquartile range of foreign direct investment net inflows in percent of GDP for LMICs. LICs = low-income countries; LMICs = low- and middle-income countries; MICs = middle-income countries.

Current account pressures can weaken investor confidence, contributing to an increase in borrowing costs and weaker output growth. Interest payments on external public and publicly guaranteed debt in LMICs rose by 33 percent between 2022 and 2024. This trend is expected to continue at a more modest rate: interest payments are projected to increase by 2.2 and 12.4 percent between 2024 and 2026 in middle- and low-income countries, respectively. Persistently elevated debt servicing, including interest, can crowd out spending in other areas important to development. Moreover, when output growth falls below interest rates, it puts government debt on an unsustainable path and further erodes investor confidence. Low confidence can make countries more vulnerable to external shocks, which could trigger capital outflows, further erode confidence, and weaken debt sustainability, with currency depreciation making it more costly to service external debt.

Persistently elevated geopolitical and trade tensions can depress export activity and discourage capital flows to LMICs. Tensions could put pressure on migrant workers, leaving LMICs that are dependent upon cross-border remittances vulnerable to a deterioration in international liquidity. FDI has already been declining (relative to GDP) in most economies over the past decade (figure 2.6b). FDI is a particularly important source of external capital for LMICs: beyond its role in financing imports, it can lead to technology spillovers, job creation, and productivity improvements (Adarov and Pallan 2025). LMICs need to make efforts to create a favorable climate for FDI, thereby boosting capital mobilization and investor confidence, and supporting debt sustainability. Geo-economic fragmentation of trade and capital flows also poses a risk to government debt sustainability by negatively affecting output and raising borrowing costs.

Trade-Off Challenges amid Global Trade Tensions and Uncertainty on Countries' Fiscal Space, Expenditures, and Debt Management

Trade tensions can further affect the debt outlook by damping growth prospects, because policy uncertainty may erode investor confidence. These spillovers from trade tensions can reduce fiscal space. Growth of trade in goods and services in LMICs is projected to slow in 2025 because of the introduction of tariffs in the United States and then to remain subdued in 2026. Moreover, heightened trade tensions and policy uncertainty could raise spending pressures in LMICs to mitigate the social consequences of economic volatility, resulting in the reduction of debt service capacity at a time when LMICs already face elevated interest payments on government debt. Fiscal support could be needed for vulnerable populations and sectors directly affected by tariff hikes or by supply chain disruptions. In addition, principal repayments on public and publicly guaranteed debt have complicated liquidity management. Between 2022 and 2024, principal repayments rose by 11.7 percent. Even though principal repayments are expected to fall in LMICs by 5.4 percent between 2024 and 2026, low-income and IDA-eligible countries are expected to see increases in principal repayments of 87.5 and 54.2 percent, respectively.

Weak domestic revenue mobilization in many LMICs compounds the fiscal situation. In LMICs, median government revenue (relative to GDP) improved only modestly between the 2010s and 2020s (figure 2.7). But government revenues are substantially lower in LICs, which also tend to have persistent current account deficits and elevated sensitivity to external shocks because of accumulation of external debt. Heightened spending on the green transition, infrastructure, and health and education for young populations could increase debt stocks in the near and medium terms.

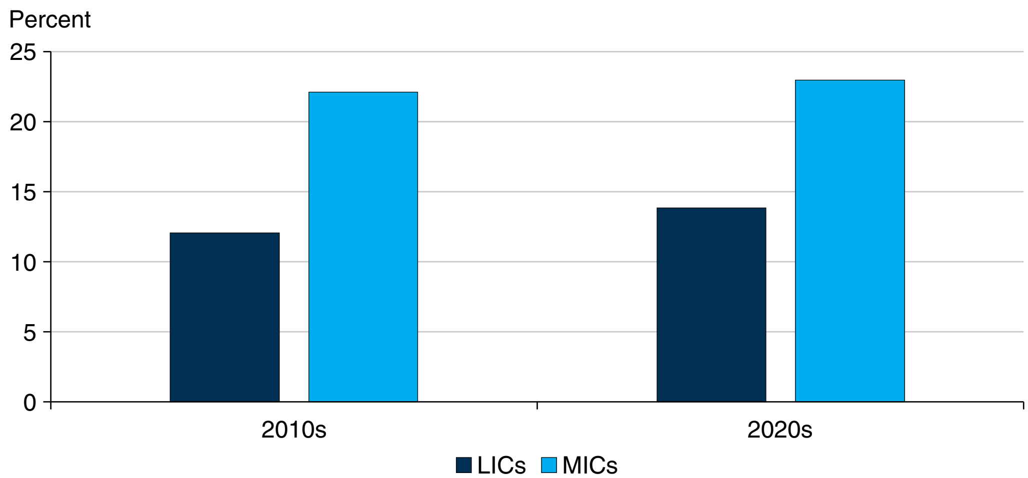
Financial instability could rise because of increased risk premiums, tightened financial conditions, and higher debt service. Financial sector stress could force governments to provide fiscal support to banks and other financial institutions, increasing government debt and worsening fiscal positions. In addition, the link between the financial sector and the fiscal health of governments is even stronger when domestic financial institutions hold a significant amount of sovereign debt.

If global tariff wars and elevated policy uncertainty lead to lower-than-expected global disinflation and monetary easing, it could further raise the stock of government debt in LMICs (figure 2.8). Interest payments are already high, and a further rise in borrowing costs would add to fiscal strains. In addition, currency depreciation could increase the burden of US dollar–denominated debt in LMICs.

The current context is similar to past circumstances in which sovereign defaults have occurred. Historically, many sovereign defaults have occurred in countries that have above-median ratios of government debt to GDP (World Bank 2023). Given preexisting debt levels, more countries may be at risk of debt distress in the near and medium terms. Between 2019 and 2024, the share of LMICs in debt distress nearly doubled, to half. If the situation worsens, lengthy debt resolution processes may be required, leading to large output decreases, losses of market access, and deteriorating development outcomes. Restructuring government debt in a timely, coordinated way should be a policy priority.

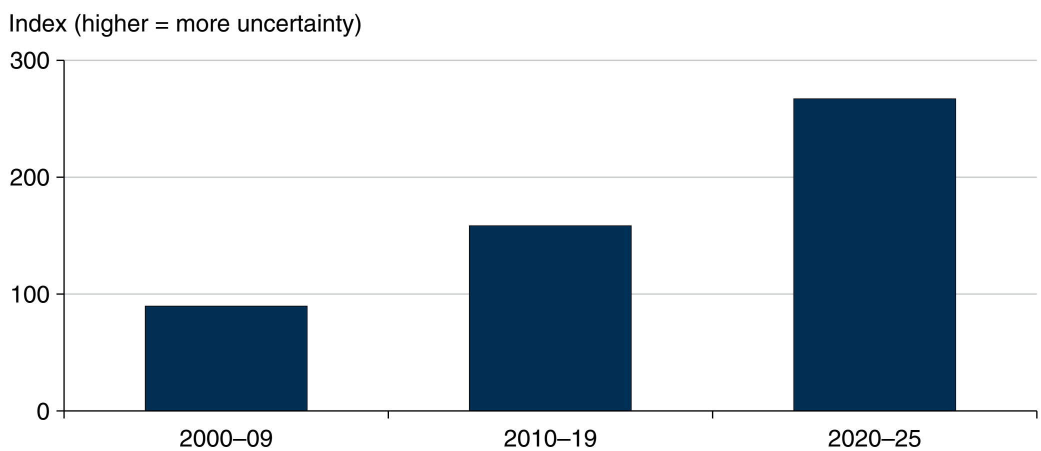
At the country level, improving fiscal space and debt management is critical (box 2.1). Countries should urgently implement medium-term budget frameworks and fiscal reforms to strengthen domestic revenue mobilization and expenditure efficiency. They should also spur domestic debt market development. The latter can encourage local currency financing to lessen exposure to currency risk. They should use caution, however, because rollover risks are often larger in the domestic market because of shorter maturities (refer to the discussion on domestic debt in the next section). Fiscal rules and councils can also support prudent debt management.

Figure 2.7 Government Revenues as a Share of GDP, 2010s and 2020s



Source: Original figure for this publication based on World Bank World Development Indicators database.
Note: Period average of median government revenue (excluding grants) in percent of GDP in low- and middle-income countries. 2010s = 2010–19; 2020s = 2020–23; LICs = low-income countries; MICs = middle-income countries.

Figure 2.8 Economic Policy Uncertainty, 2000–09, 2010–19, and 2020–25



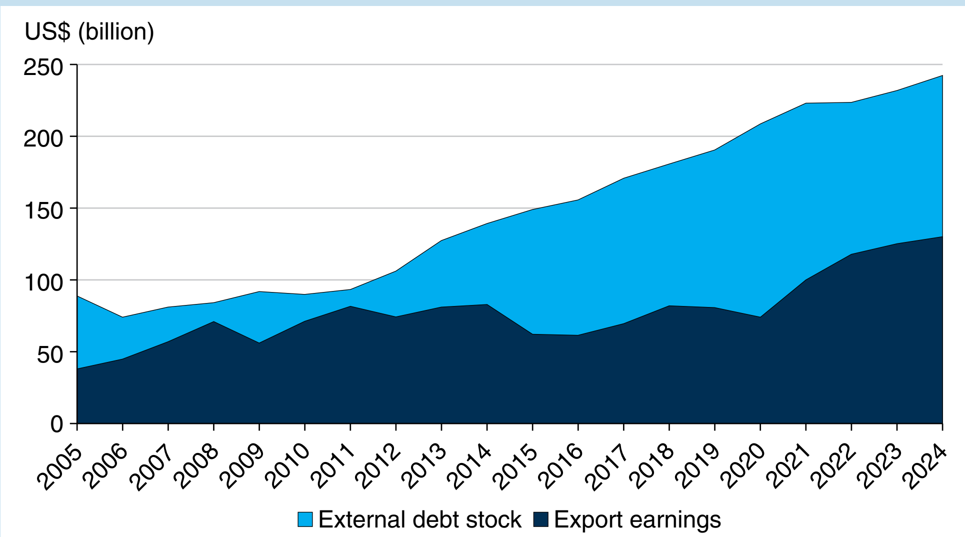
Sources: Original figure for this publication based on Baker, Bloom, and Davis 2016 and World Bank World Development Indicators.
Note: Period averages of the monthly Baker, Bloom, and Davis economic policy uncertainty index. Last observation is March 2025.

Box 2.1 Trade Volatility and Debt Sustainability in Low-Income Countries

As external debt of low-income countries (LICs) continues to grow, understanding how trade volatility interacts with debt sustainability is crucial for sound fiscal planning and trade reforms. Recent World Bank analysis suggests that volatility in export earnings is closely associated with risks of debt distress in LICs, underscoring the need to better integrate trade resilience considerations into debt sustainability frameworks and the broader macroeconomic policy dialogue.

External debt stocks in LICs have grown much faster than export earnings over the last decade. Between 2014 and 2024, LICs' total external debt nearly doubled, from US$139.0 billion to US$242.4 billion; export earnings grew from US$76.0 billion to US$130.0 billion (figure B2.1.1). Over the same period, LICs' debt service payments, including principal and interest, increased sharply, absorbing more than 9 percent of export earnings in 2024, up from 7 percent in 2014 (figure B2.1.2). As such, LICs increasingly face a significantly higher debt repayment burden relative to their capacity to earn through exports.

Figure B2.1.1 Export Earnings and External Debt Stock, Low-Income Countries, 2005–24



Source: World Bank International Debt Statistics database.
Note: Low-income country grouping based on fiscal year 2025 World Bank Group Income Classification.

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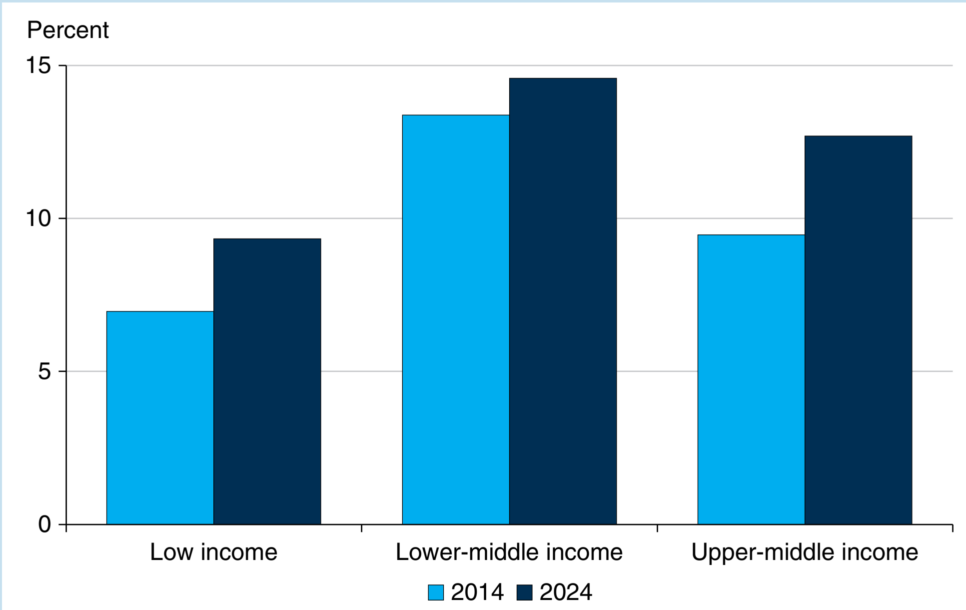
Box 2.1 Trade Volatility and Debt Sustainability in Low-Income Countries (*continued*)

Figure B2.1.2 Ratio of Debt Service to Exports, 2014 vs. 2024



Source: World Bank International Debt Statistics database.
Note: Country groupings based on fiscal year 2025 World Bank Group Income Classification.

Meanwhile, the share of LICs classified as facing high debt risk or in debt distress has more than doubled, from 24 percent in 2013 to 54 percent in 2024.[a] Export volatility in LICs—measured by year-to-year changes in export earnings—has risen sharply since 2019 (figure B2.1.3). Much of the increase was driven primarily by commodity price fluctuations, which remain the dominant source of trade instability for many LICs (Dessus and Constantinescu 2024). Notably, countries at high risk of or in debt distress in 2023 are among those experiencing the highest trade volatility (figure B2.1.4).

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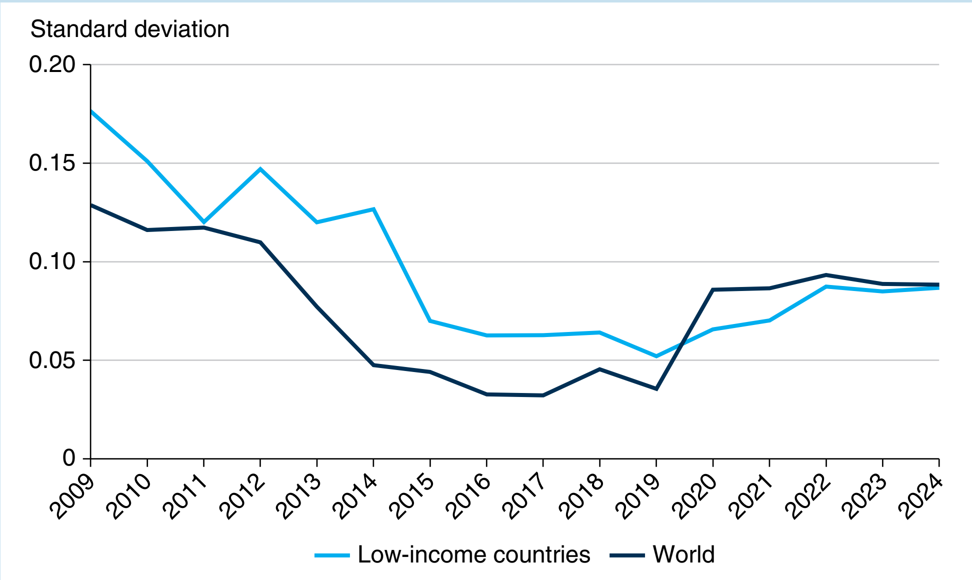
Box 2.1 Trade Volatility and Debt Sustainability in Low-Income Countries (*continued*)

Figure B2.1.3 Five-Year Rolling Volatility of Exports Earnings, 2009–24



Sources: World Bank Debt Sustainability Analysis and World Development Indicators databases.
Note: Low-income country grouping based on fiscal year 2025 World Bank Group Income Classification. Export volatility is measured as short-term, year-to-year fluctuations in export values of goods, services, and primary income, net of long-term growth trends. Volatility is calculated over five-year rolling periods.

In the current global trade policy environment, volatility is expected to remain high and possibly rise even higher. Rising protectionism and frequent shifts in trade policies increase uncertainty, threatening demand for LIC exports and foreign exchange earnings. Climate change is also expected to intensify trade volatility by amplifying the frequency and severity of supply shocks, especially for commodity-dependent exporters. As previously shown, countries with higher debt risks or in debt distress are among those with greater volatility, suggesting a potential link between trade volatility and debt unsustainability. This correlation does not necessarily imply causality, but it highlights the importance of a better and more systematic consideration of trade volatility in debt sustainability analysis.

To build resilience, LICs need policies that directly address the structural sources of vulnerability in their trade sectors. Strengthening trade resilience can both stabilize external revenues and broaden the export base, reducing the probability that temporary shocks undermine debt sustainability.

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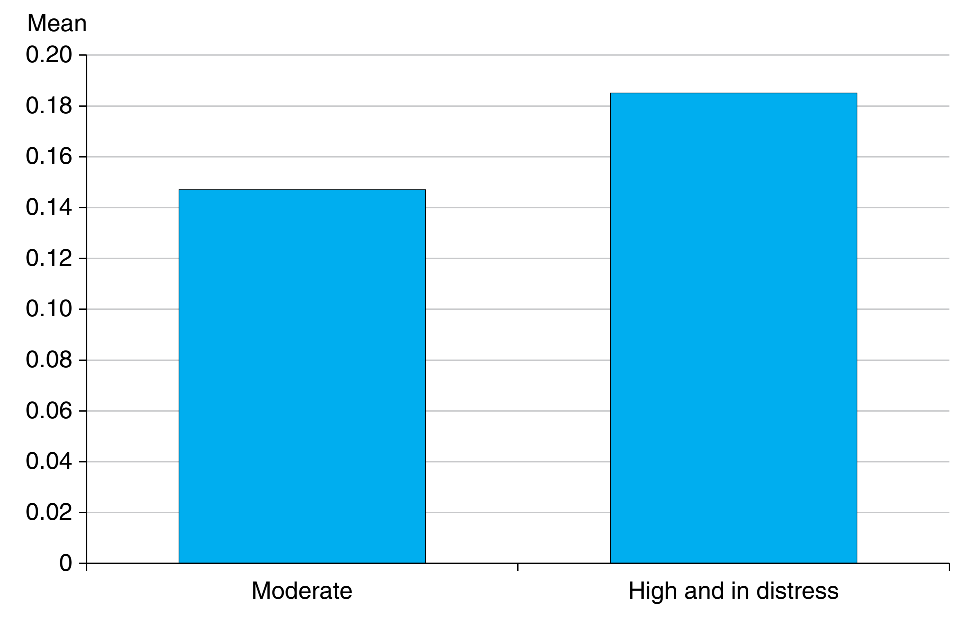
Box 2.1 Trade Volatility and Debt Sustainability in Low-Income Countries (*continued*)

Figure B2.1.4 Export Volatility in Low-Income Countries, by Debt Risk Category, 2014–24



Sources: World Bank Debt Sustainability Analysis and World Development Indicators databases.
Note: Low-income country grouping based on fiscal year 2025 World Bank Group Income Classification. Export volatility is measured as short-term, year-to-year fluctuations in export values of goods, services, and primary income, net of long-term growth trends. Volatility is measured as the simple average of the log volatility, defined as the standard deviation of residuals from a linear trend in the natural logarithm of export values (2014–24).

Key areas for policy action:

- *Promotion of export diversification.* Reduces reliance on a narrow set of products and partners while broadening opportunities in digital trade and services.
- *Strengthening of logistics systems.* Improves supply chain reliability and lowers costs, making exports more resilient.
- *Deepening of trade agreements.* Enhances stable market access through stronger legal and institutional frameworks.

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Box 2.1 Trade Volatility and Debt Sustainability in Low-Income Countries (*continued*)

- *Increasing export responsiveness to currency movements*. Strengthens the ability of firms to expand exports when faced with exchange rate depreciation, increasing resilience to external shocks (Stojanov, Engel, and Varela 2024).

Systematically integrating trade volatility into debt sustainability analysis frameworks, alongside structural reforms to enhance export resilience, will be essential to safeguarding debt sustainability in LICs.

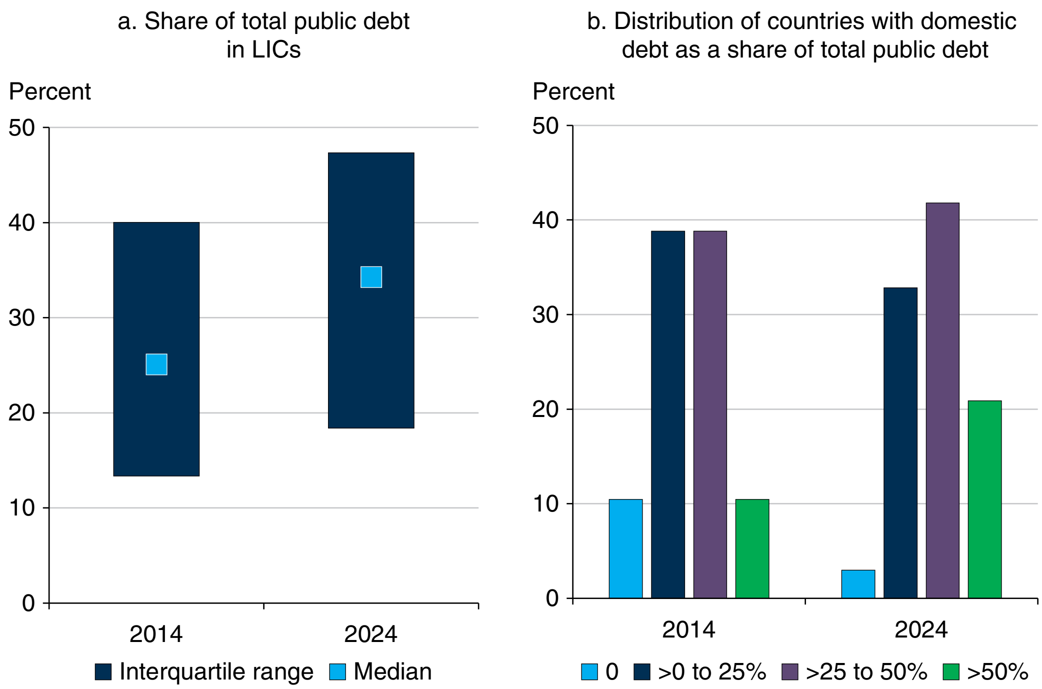
a. Reflects published debt sustainability analysis ratings as of end-August 2025.

Domestic Debt in Low-Income Countries: Recent Developments

Many countries covered under the Low-Income Country Debt Sustainability Framework (LIC DSF)[6] have increased their domestic financing over the past decade in order to meet pressing financing needs and manage debt vulnerabilities. This expansion of domestic debt markets has helped these countries finance widening fiscal deficits amid repeated shocks, growing development needs, and sluggish revenue growth, while reducing exposure to exchange rate risks. The World Bank continues to support countries in strengthening these markets, with a new focus on capital market development. However, rising domestic debt burdens and a tightening sovereign-bank nexus in several LIC DSF countries highlights the need for close monitoring and risk management.

Public domestic debt in LIC DSF countries has risen steadily over the last decade. Between 2014 and 2024, their public domestic debt-to-GDP ratio rose from 8 percent to 17 percent, with about half of this increase occurring before the COVID-19 pandemic (12 percent in 2019).[7] Over the same period, the median LIC DSF country expanded its public domestic debt share by 10 percentage points (figure 2.9a). Moreover, the share of countries with public domestic debt that is more than half of their total public and publicly guaranteed debt more than doubled from 10 percent in 2014 to 21 percent in 2024 (figure 2.9b). During this period, some frontier LIC DSF countries such as Ghana, Kenya, and Tanzania were able to issue local currency bonds at maturities greater than 15 years (IMF and World Bank 2020).

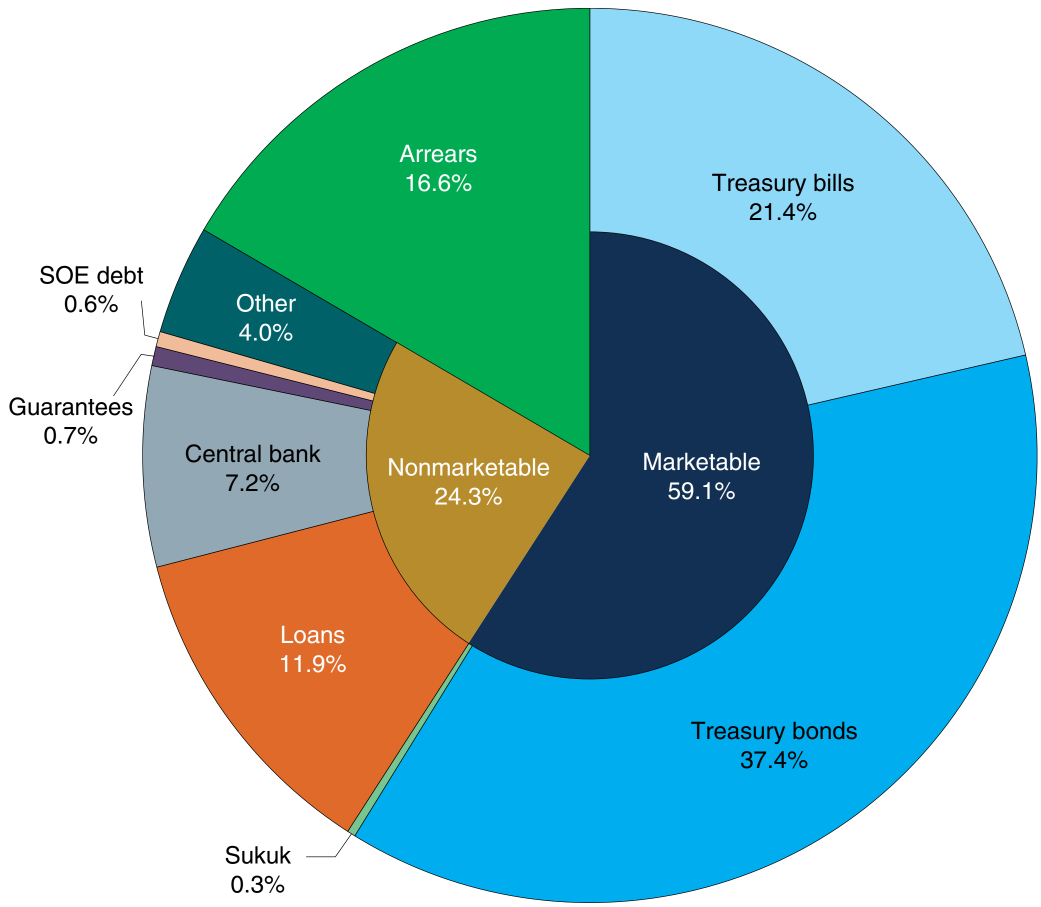
Figure 2.9 Share of Domestic Public Debt in Low-Income Country Debt Sustainability Framework Countries, 2014 and 2024



Source: International Monetary Fund–World Bank Low-Income Country Debt Sustainability Framework database as of June 2025.
Note: IMF = International Monetary Fund; LIC = low-income country.

Domestic debt in LIC DSF countries is dominated by marketable instruments, though nonmarketable debt remains important, especially in certain regions. As of end-2024, about 59 percent of the stock of public domestic debt is in marketable securities (mainly treasury bills and treasury bonds, with a marginal share of sukuk), 24 percent is in nonmarketable debt such as loans and central bank financing, and 17 percent is in arrears (figure 2.10).[8] Among the 60 countries considered, 80 percent issue marketable debt. About two-thirds of the remaining countries are countries affected by fragility, conflict and violence, and the rest are small states. The increasing reliance on marketable debt has been accompanied in some cases by improvements in debt transparency.[9]

Figure 2.10 Composition of Public Domestic Debt in Low-Income Country Debt Sustainability Framework Countries, 2024

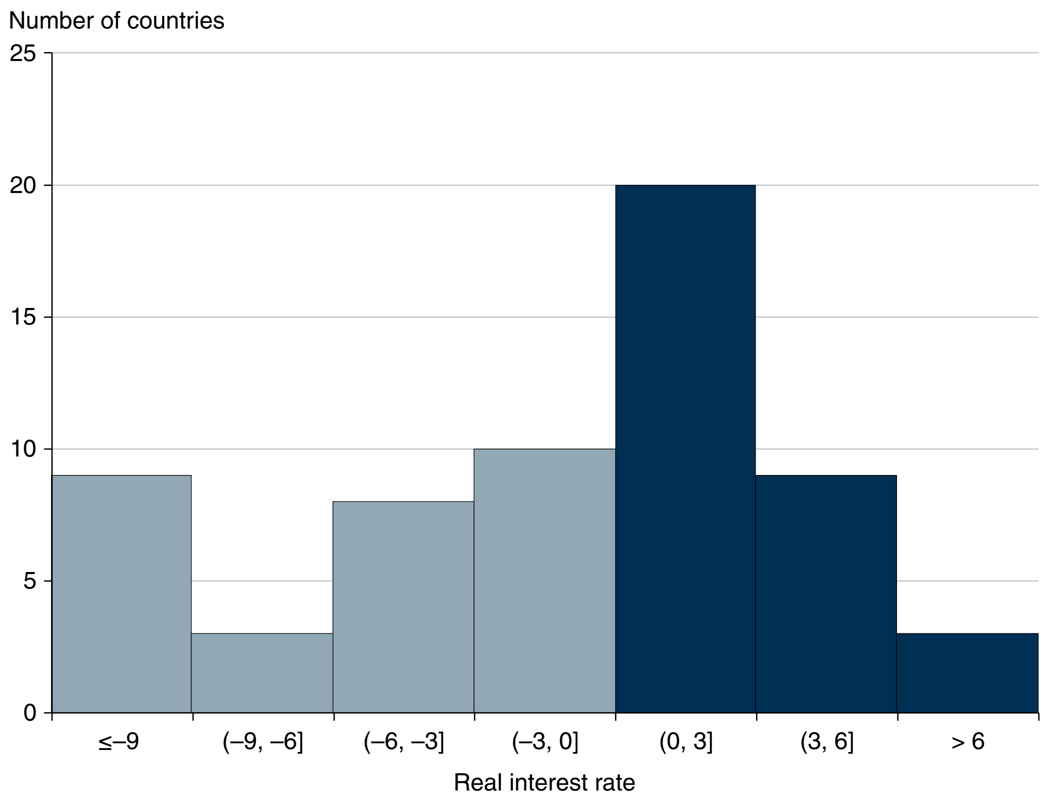


Sources: Low-Income Country Debt Sustainability Analyses, debt bulletins of national authorities; Bank of Canada–Bank of England database of sovereign defaults.
Note: SOE = state-owned enterprise.

The increased reliance on domestic debt has helped mobilize resources during shocks and has reduced exchange rate risks, but it comes at the cost of heightened refinancing and interest rate risks. Whereas the 2024 stock of domestic debt was predominantly medium- and long-term (79 percent), new issuance in 2025 shows a shift to short-term borrowing, with 41 percent of new debt (including central bank financing) issued at short maturities. The median maturity of new longer-term debt is 4.5 years for LIC DSF countries and 5.0 years for frontier LIC DSF countries, but it is significantly shorter for small economies (2.9 years) and countries affected by fragility, conflict, and violence (3.6 years).

Nominal costs for domestic borrowing are generally higher than for external concessional borrowing and may be obscured by nonmarketable instruments and financial repression. The effective costs of external borrowing, however, depend not only on nominal interest rates but also on exchange rate movements. High nominal rates on domestic debt—reaching 25 percent in some LIC DSF countries, with the median at about 5 percent in 2024—combined with increased volumes have driven domestic public debt service costs higher, which increases rollover risks. The median ratio of domestic debt service-to- revenues (including grants) has increased more than sixfold over the past decade, from 3 percent in 2014 to 19 percent in 2024. More critically, countries with the highest ratios of interest payments to revenue also face low revenue-generating capacity. Further, nearly half of LIC DSF countries continue to record negative real domestic interest rates (figure 2.11), with the median close to zero in 2024, partly reflecting the global inflationary spike that inflated away the real value of existing debts. In some cases, however, persistently negative real rates reflect financial repression, as regulatory requirements or policy incentives push domestic financial institutions to absorb government securities at below-market returns.

Figure 2.11 Distribution of Real Interest Rate on Domestic Debt, 2024



Source: International Monetary Fund–World Bank Low-Income Country Debt Sustainability Framework database as of end-June 2025.

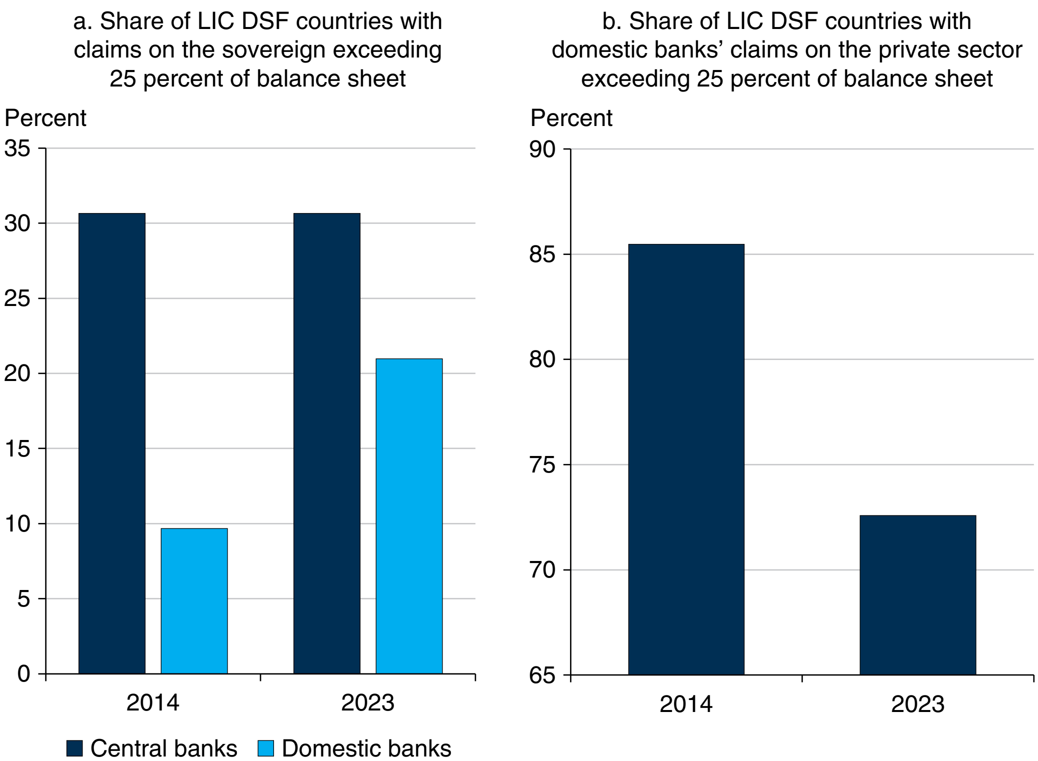
Domestic debt poses distinct risks compared to external debt, reflecting differences in creditor bases and macrofinancial links. External debt pressures aggravate balance-of-payments pressures with broader macroeconomic risks, reflecting the impact on external creditors and the prospects of future access to external financing. Meanwhile, domestic debt is primarily held by the local financial system, which creates links across sovereign-bank-central bank balance sheets with bidirectional risk. Banking crises can put pressure on sovereign financing as demand for domestic debt recedes, and sovereign defaults imply asset losses on the balance sheet of the local financial sector, which could risk citizens' deposits. Both can impede credit creation and constrain growth.

In addition, central banks' exposures to the sovereign across LIC DSF countries have risen over the last decade, with central bank interventions in response to COVID-19 contributing to the increase. Monetary financing can distort the pricing of domestic debt, artificially lowering costs and concealing sovereign risks. In large volumes, it can also be a source of vulnerability on the balance sheet of the central bank itself. More generally, monetary financing has well-known implications for price stability across the economy.

The sovereign-banking nexus in LIC DSF countries has also strengthened over the recent past, mirroring governments' growing dependence on domestic financing. Since 2014, domestic commercial banks in LIC DSF countries have increased their exposure to the sovereign. Over the last decade, the number of LIC DSF countries with domestic banks that had more than a quarter of their assets with the sovereign more than doubled (figure 2.12a). Over the same period, the number of these countries that had more than a quarter of their banks' assets with the private sector declined (figure 2.12b).

Domestic nonbank investors in LIC DSF countries have also become larger players in the domestic debt market over the last decade. Domestic pension funds and other nonbank domestic investors increased their share of domestic debt in more LIC DSF countries over the period 2015–24 than in 2000–10. This situation reflects the role that pension funds play in many countries as a source of unchecked financing for governments.

Figure 2.12 Low-Income Debt Sustainability Framework Countries with Claims Exceeding 25 Percent of Balance Sheet, by Type of Investor, 2014 vs. 2023



Source: Original calculations based on data from the International Monetary Fund International Financial Statistics database.
Note: In panel a, exposure to the sovereign includes central banks' claims on the central government, nonfinancial public institutions, and state and local governments. DSF = Debt Sustainability Framework; LIC = low-income country.

High Debt, High Fragility: Interlinked Risks to Development

External debt stocks across many LMICs have accumulated substantially over the past decade, approaching or exceeding historical highs (refer to chapter 1 of this report). Although the pace of new borrowing has recently slowed, this debt buildup, along with long-standing structural fragilities, continues to constrain development progress.

External debt burdens and systemic fragility are interconnected (Kraay and Nehru 2006; World Bank 2025a). In this analysis, fragility spans a broad spectrum of persistent weaknesses, including underperforming food systems, limited preparedness for shocks, and institutional weaknesses that undermine effective governance and policy implementation. Countries facing such challenges often resort to external borrowing during crises, primarily from official creditors in lower-income countries, given their limited market access. Once accumulated, however, high debt burdens may further constrain fiscal space and policy flexibility, crowding out critical investments in infrastructure, agriculture, health, social protection, and crisis response capacities. This dynamic can become self-reinforcing: elevated debt restricts a country's ability to invest in development and resilience, thereby increasing its vulnerability to future shocks and the likelihood of further borrowing until it reaches financing ceilings (AfriCatalyst 2025; Federspiel, Borghi, and Martinez-Alvarez 2022; IMF and World Bank 2022).

To examine these interlinkages, this section applies a set of complementary global indicators capturing various development dimensions. The affordability of a healthy diet serves as an indicator reflecting population-level vulnerability and constraints within food systems and income distribution. The INFORM Risk Index, developed by the European Commission and United Nations agencies, captures exposure and vulnerability to shocks such as natural disasters and conflict; institutional capacity is measured through the World Bank's Country Policy and Institutional Assessment and Worldwide Governance Indicators. These indicators are analyzed with the most recent debt data from the 2025 International Debt Statistics database to ensure data recency and cross-country consistency.

The latest data from 106 LMICs in the 2025 International Debt Statistics reveal consistent associations between high external debt burdens (relative to exports of goods, services, and primary income) and adverse conditions, including unaffordability of healthy diets, structural vulnerability, and limited institutional capacity. On average, IDA-only countries face external debt stocks that represent about 189 percent of their export revenue, compared to 130 percent in non-IDA countries. Similarly, on average, 58 percent of the population in IDA-only countries cannot afford a healthy diet, versus 24 percent in non-IDA countries. IDA-only countries also score substantially worse on vulnerability metrics and institutional indicators compared to their non-IDA peers.

These findings indicate a pressing need to integrate debt statistics and diagnostics with broader development risk monitoring. Doing so can support policy makers in anticipating crises, prioritizing interventions, and designing timely and coordinated policy responses.

Food and Nutrition Security under Debt Pressure

Access to affordable and healthy diets is a core development priority, reflecting concerns about both population-level vulnerability and constraints in food systems and income structures. Persistently unaffordable healthy diets not only signal economic hardship but also undermine nutrition and health outcomes, which in turn impair learning and productivity, posing serious long-term risks to development.

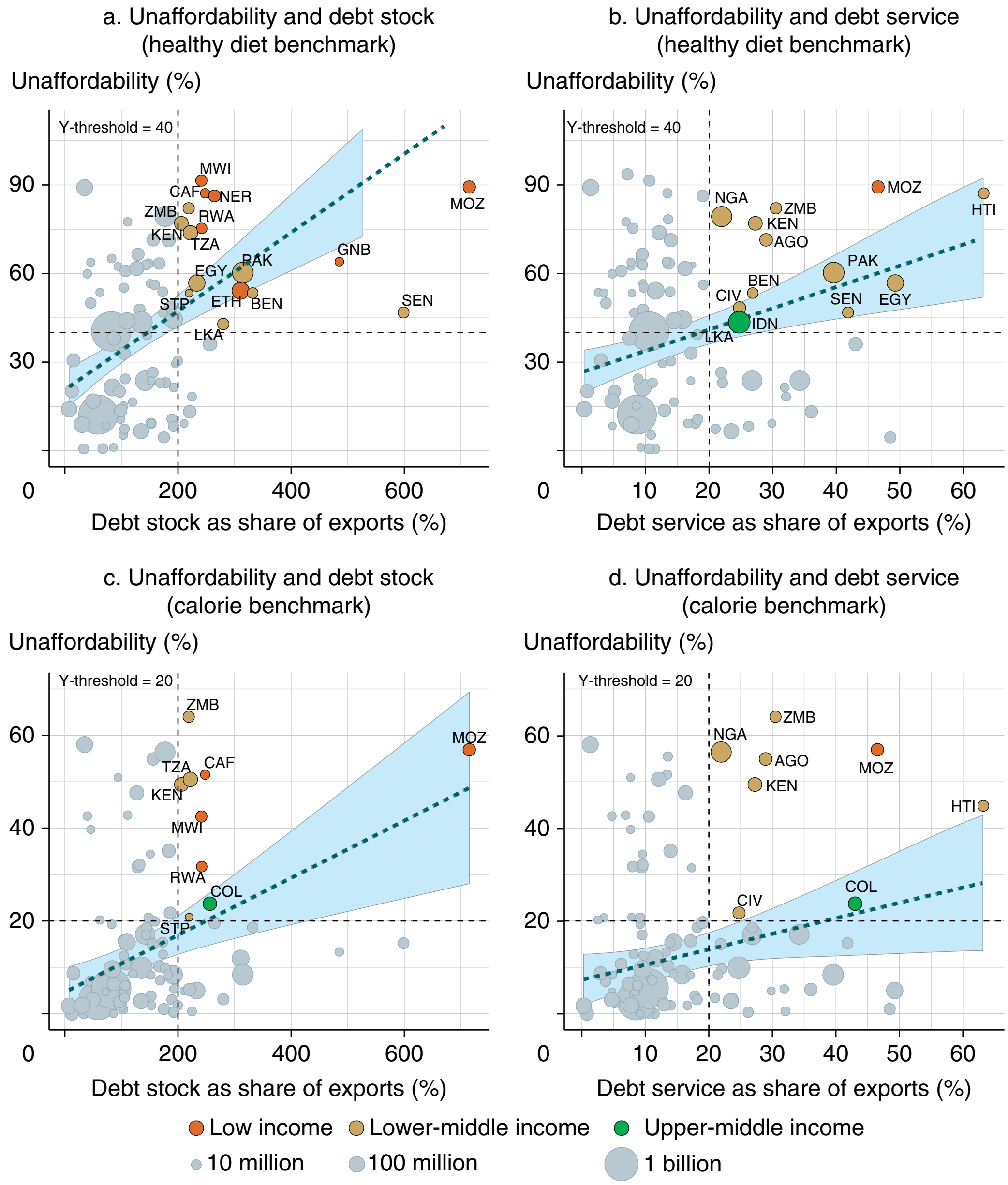
Drawing on the Cost and Affordability of a Healthy Diet indicators jointly produced by the United Nations Food and Agriculture Organization and the World Bank (FAO et al. 2025; Fu et al. 2025), recent data reveal that countries experiencing significant debt distress also face acute challenges in ensuring nutrition security for their populations. These data underscore the need to align debt relief and concessional financing with institutional and growth-oriented reforms, as well as with investments in nutrition-sensitive food systems.

As illustrated in figure 2.13, external debt exposure is closely linked to the affordability of a healthy diet. Among the 22 countries with external debt stock exceeding 200 percent of export revenue, 15 are IDA-only countries. This country group classification includes eligible countries that receive the most concessional IDA financing, including grants and highly subsidized loans depending on the risk of debt distress, and does not include IDA-blend countries, which use a mix of IDA and IBRD resources. Across these 22 high-debt countries, an average of 56 percent of the population cannot afford a healthy diet. This figure rises to 65 percent in the IDA-only group, underscoring how debt distress and nutrition security challenges frequently overlap in the most vulnerable contexts. In 17 of these 22 countries, the share exceeds 40 percent, meaning more than 40 percent of the population in a country cannot afford a healthy diet, a threshold that signals high risk of nutrition insecurity in this analysis. Even calorie-adequate diets, a lower-cost benchmark that meets basic dietary energy needs using the cheapest starchy staple foods, are unaffordable for over 20 percent of the population in many of these countries. This finding signals severe deprivation and further underscores the compounding effects of limited purchasing power and inefficiencies in food systems.

Countries such as Kenya, Mozambique, and Zambia, located in Eastern and Southern Africa, are identified as high-risk across all panels in figure 2.13. In Mozambique, for example, nearly 90 percent of the population cannot afford even the lowest-cost healthy diet, and nearly 60 percent are priced out of a calorie-adequate diet. At the same time, the country faces external debt stocks exceeding 700 percent of exports and debt service ratios above 46 percent of exports as of 2024.

Figure 2.13 Food and Nutrition Security, by Country Debt Level

Prevalence of unaffordability: healthy diets vs. caloric adequacy



Sources: World Bank Food Prices for Nutrition, International Debt Statistics, and World Development Indicators databases.

Note: Bubble size and regression weights reflect 2024 populations. Trend lines represent population-weighted ordinary least squares regressions with 95 percent confidence intervals shaded. Panels a and b show the share of the population unable to afford a healthy diet; panels c and d show the share unable to afford a calorie-adequate diet. The analysis covers 90 countries for the healthy diet indicator and 91 for the calorie benchmark. Countries are flagged as high risk if over 40 percent (healthy diet benchmark) or 20 percent (calorie benchmark) of people cannot afford the diets. Thresholds correspond to the upper end of the global distribution in 2024 and 2021 as the most recent estimates, respectively. Debt distress thresholds, defined as external debt stock exceeding 200 percent of exports and debt service exceeding 20 percent, apply across all figures. Gray bubbles represent countries that do not fall into the high-risk quadrant.

Compounding Risk and Vulnerability

Beyond nutritional deprivation, countries with high levels of external debt often face multiple, interrelated risks that heighten their vulnerability to crises. In resource-constrained settings, financial stress frequently overlaps with exposure to shocks and disasters, societal vulnerability, and limited coping capacity. Understanding these interlinked dynamics is essential for assessing how debt amplifies broader development risks and undermines resilience.

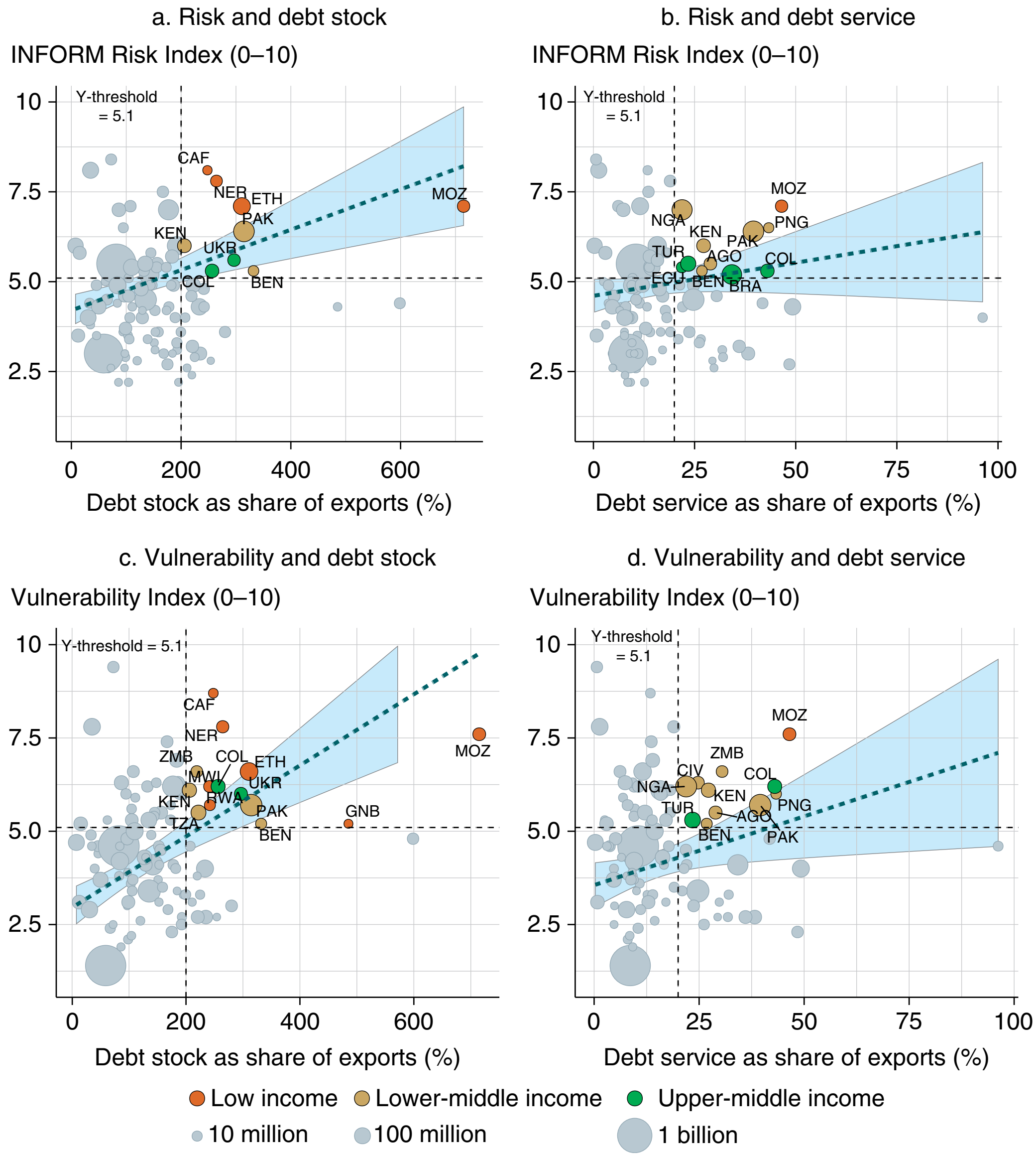
To illustrate how these risks manifest across countries, figure 2.14 uses the INFORM Risk Index,[10] which captures a country's exposure to shocks such as conflict and natural disasters, as well as its underlying societal vulnerability and coping capacity. This analysis highlights the country's overall INFORM score and its vulnerability subscore, which reflects structural development fragilities such as chronic poverty, limited access to essential services, and economic marginalization.

Both indicators show positive associations with external debt burdens, especially the vulnerability score. Countries such as Benin, Colombia, Kenya, Mozambique, and Pakistan are consistently identified as high-risk across all panels, exhibiting both high debt and high compounding vulnerability. Although many of these countries are in the Sub-Saharan Africa region, high-risk countries are also found in Asia and Latin America and include upper-middle-income economies such as Ukraine and Türkiye.

These findings reinforce the fact that debt and fragility are deeply intertwined. Financial stress can be both a symptom and a driver of broader vulnerability, reinforcing cycles of underinvestment, weak resilience, and stalled development progress. The next section turns to one of the most critical underlying factors sustaining this cycle: institutional capacity.

Figure 2.14 Risk and Vulnerability, by Country Debt Level

INFORM risk and vulnerability indices



Sources: European Commission and Inter-Agency Standing Committee Reference Group on Risk, Early Warning and Preparedness, "DRMKC–INFORM," https://drmkc.jrc.ec.europa.eu/inform-index; Joint Research Centre, European Commission and United Nations agencies; World Bank International Debt Statistics and World Development Indicators databases.

Note: Bubble size and regression weights reflect 2024 populations. Trend lines represent population-weighted ordinary least squares regressions with 95 percent confidence intervals shaded. The analysis covers 105 countries with data on external debt and risk indexes. Panels a and b show INFORM Risk Index; panels c and d show vulnerability subscores. Countries are flagged as high risk if their index value exceeds 5.1. Latest INFORM data published in mid-2025, with underlying data up to 2025. Gray bubbles represent countries that do not fall into the high-risk quadrant.

Weak Fiscal and Institutional Capacity

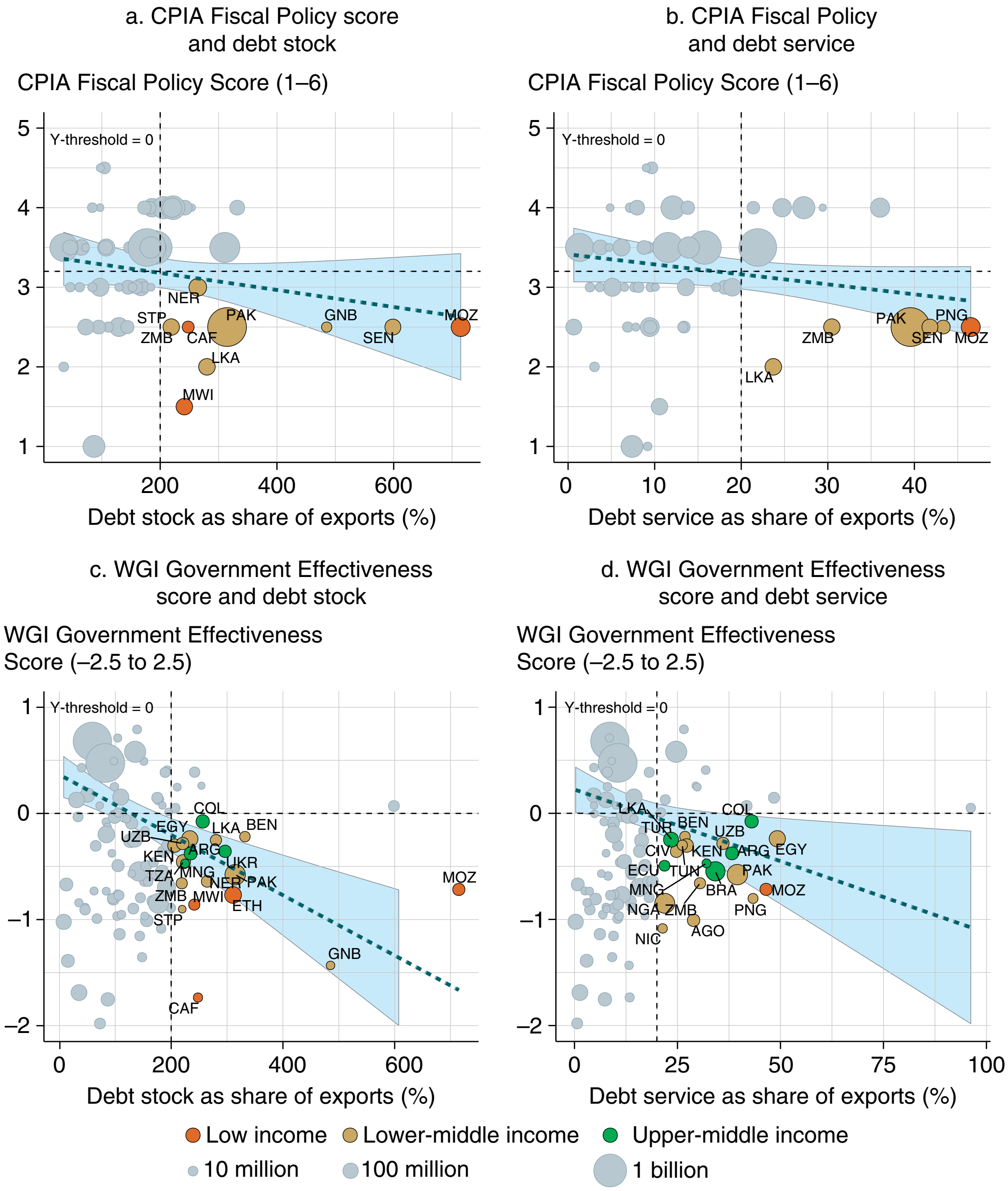
A country's institutional capacity plays a critical role in shaping how debt burdens translate into development risks. A governments' ability to maintain macrofiscal stability, respond effectively to crises, and deliver essential public services depends heavily on the strength of its institutions, particularly the quality of public administration and the credibility of fiscal policy frameworks.

Figure 2.15 illustrates a strong relationship between external debt burdens and two global indicators of institutional capacity, underscoring the systemic link between financial pressures and the effectiveness of institutions. The Fiscal Policy score from the World Bank's Country Policy and Institutional Assessment evaluates the quality of fiscal policy in its stabilization and allocation functions. The score reflects how well a country uses public expenditure and revenue instruments to maintain macroeconomic stability and provide essential public goods—such as infrastructure and agricultural services—to support growth.[11] The Government Effectiveness score from the Worldwide Governance Indicators reflects perceptions of the quality of public services, the independence and professionalism of the civil service, and the government's ability to formulate and implement sound policies (Kaufmann, Kraay, and Mastruzzi 2010).

Fiscal Policy scores show a modest negative association with external debt levels. Although these scores are available only for IDA-eligible countries, the pattern suggests that several highly indebted countries also exhibit weak fiscal policy performance. Government Effectiveness scores, covering all 106 countries, display a stronger negative relationship with external debt. Many countries with elevated debt burdens register lower-than-average scores on governance quality—not only among LMICs but also in some upper-middle-income economies such as Argentina, Colombia, and Mongolia. Notably, Mozambique, Pakistan, Sri Lanka, and Zambia are consistently identified across multiple measures—underscoring their limited institutional capacity to respond effectively to emerging development challenges.

Figure 2.15 **Institutional Capacity, by Country Debt Level**

Fiscal Policy and Government Effectiveness scores



Sources: World Bank International Debt Statistics and World Development Indicators databases.
Note: Bubble size and regression weights reflect 2024 populations. Trend lines represent population-weighted ordinary least squares regressions with 95 percent confidence intervals shaded. Countries are flagged as institutionally weak if their CPIA Fiscal Policy score is below 3.2 or their WGI Government Effectiveness score is below 0. The 3.2 cutoff is based on related World Bank practice for identifying fragile and conflict-affected situations. The CPIA data set includes 63 countries (2024), and the WGI data set includes 106 countries (2023). Gray bubbles represent countries that do not fall into the high-risk quadrant. CPIA = Country Policy and Institutional Assessment; WGI = Worldwide Governance Indicators.